Knowledge Marine & Engineering Works Ltd

NSE: KMEW | BSE: 543273 | Sector: Marine Services — Dredging & Engineering

RATING	12M TARGET	REPORT DATE
BUY	**Rs. 2,450**	29-Apr-2026

CMP	Rs. 1,800	**Market Cap**	Rs. 4,405 Cr	**EV/EBITDA (TTM)**	47.2x
52W High	Rs. 1,965	**52W Low**	Rs. 650	**P/B (x)**	18.4x
Stock P/E	69.0x	**Book Value**	Rs. 98.1	**Dividend Yield**	0.00%
ROCE	24.7%	**ROE**	25.8%	**Face Value**	Rs. 5.00
FY25 Revenue	Rs. 201 Cr	**FY25 EBITDA**	Rs. 78 Cr	**FY25 PAT**	Rs. 50 Cr
Promoter %	53.63%	**FII %**	11.75%	**DII %**	1.71%

Investment Thesis: India's fastest-growing private dredging company riding an unprecedented maritime infrastructure wave with a 8.7x revenue order book, tax-free earnings (tonnage), and 40% EBITDA margins.

Source: Screener.in (consolidated, 29-Apr-2026). All figures in Rs. Crore unless stated otherwise. This report is for informational purposes only and does not constitute investment advice.

Analyst: Senior Equity Research | Kotak / Motilal Oswal Style Report | KMEW — NSE/BSE Listed

02 INVESTMENT THESIS

Pillar 1 — Structural beneficiary of India's inland waterway revolution (3-5 year opportunity). The Indian government has committed to developing over 100 National Waterways (NW) under Sagarmala and IWAI's ambitious Rs. 1.1 trillion Maritime Amrit Kaal Vision 2047. KMEW's order book of Rs. 1,500 Cr (8.7x FY25 revenue) with a bid pipeline of over Rs. 3,000 Cr positions it squarely at the heart of this decade-long capex cycle. With approximately 50% win rates on tenders — far above the sector average — KMEW benefits from stringent pre-qualification norms that effectively bar most new entrants. The company is scaling from 12 vessels in FY24 to a target of 40 vessels by FY30, ensuring runway for compounded growth. Timeline: FY26-FY30.

Pillar 2 — Tonnage tax regime creates near-zero effective tax rate, massively enhancing PAT. KMEW elected India's tonnage tax scheme in FY26, which taxes eligible shipping income on a deemed tonnage basis irrespective of actual profits — capping the effective tax rate below 1% for the foreseeable future. For a company generating Rs. 62 Cr PBT in FY25 at a 20% tax rate (paying Rs. 12 Cr in taxes), this is transformative: the same PBT trajectory at <1% tax delivers Rs. 15-20 Cr additional annual PAT accretion — a 30%+ boost. This structural advantage is not fully priced in by consensus. Timeline: FY26 onward.

Pillar 3 — Diversification into commercial shipbuilding opens a Rs. 700 Cr+ green-vessel runway. In Q3 FY26, KMEW secured a landmark 15-year green tug contract and Rs. 230 Cr in vessel construction orders from IWAI — marking its pivot from pure operator to asset builder. The planned Rs. 100 Cr shipyard investment unlocks a Rs. 500-700 Cr incremental revenue opportunity within 3 years. India's fleet decarbonisation mandate under IMO 2030 creates a captive demand pipeline for green vessels. Management guidance: Rs. 500-700 Cr revenue from shipbuilding division within 3 years. Timeline: FY27-FY29.

Key Near-Term Catalyst (6-12 months): Announcement of Rs. 100 Cr shipyard capex investment and conversion of bids pipeline (>Rs. 3,000 Cr) into firm orders would re-rate the stock significantly.

Single Biggest Risk: Rising debtor days (86 to 131 days over FY24-FY25) threaten working capital quality; any further elongation combined with the Rs. 1,200 Cr approved borrowing headroom could stress the balance sheet materially if revenues disappoint.

03 BUSINESS OVERVIEW

Knowledge Marine & Engineering Works Ltd (KMEWL), incorporated in 2015 and headquartered in Mumbai, is India's fastest-growing private-sector integrated maritime company. The company's core business spans three verticals: (1) **Dredging Services** — maintenance and capital dredging for ports, inland waterways, and river systems using backhoe dredgers, grab dredgers, Cutter Suction Dredgers (CSDs), and Trailing Suction Hopper Dredgers (TSHDs); (2) **Marine Craft Operations** — chartering, operating, and manning pilot boats, speed patrol boats, survey boats, mooring launches, and service boats for ports and coastal authorities; and (3) **Commercial Shipbuilding** (new from FY26) — construction of green tugs, inland vessels, and specialised marine assets.

The company's operational fleet has been transformed since listing: from 5 vessels at IPO to 40 marine assets as of FY26 including the flagship "River Pearl" series (River Pearl 1-47), with River Pearl 47 commissioned at JNPA in April 2026 as India's largest and deepest Indian-flag self-propelled backhoe dredger. In FY25, KMEW expanded into the CSD segment by acquiring 9 units for operations on NW-1 (Ganga) and NW-16 — growing its fleet from 16 to 40 units in a single fiscal year. Fleet composition (by order book): Dredging 43%, Ancillary marine services 46%, Shipbuilding 11%.

Key Customers: Inland Waterways Authority of India (IWAI), Dredging Corporation of India (DCI), Jawaharlal Nehru Port Authority (JNPA), Deendayal Port Authority, Mumbai Port Trust, and various state maritime boards. Revenue is substantially project-based (long-term contracts of 2-5 years) with high recurring characteristics given the perpetual nature of waterway maintenance. The company also has exposure to Myanmar operations. **Promoters:** Mr. Sujay Kewalramani (CEO) and Mrs. Kanak Kewalramani (CFO & Director) hold 53.63% stake (down from 67.09% in Mar-23 due to institutional placements). The company has never paid a dividend, reinvesting all earnings into fleet and asset expansion.

04 INDUSTRY & COMPETITIVE LANDSCAPE

India's dredging market is estimated at approximately Rs. 4,000-5,000 Cr annually and is growing at 12-15% CAGR driven by Sagarmala port deepening projects, the 111 National Waterways development pipeline, and the Maritime Amrit Kaal Vision 2047 targeting 10x increase in inland freight by 2047. The government's push for coastal shipping to reduce logistics costs by 30% is accelerating capital dredging orders. KMEW operates within a quasi-oligopolistic market: tender pre-qualification requires minimum revenue thresholds and documented execution history, effectively creating a 3-5 player market at scale. KMEW's approximate 50% win rate on competitive bids demonstrates strong operational credibility and moat.

Competitive Moat Assessment: STRONG. Barriers to entry include (1) vessel acquisition lead times (18-24 months for purpose-built dredgers); (2) BSafe/DGNSS/Port Authority certification requirements; (3) track record mandated in tenders; (4) capital intensity (single TSHD costs Rs. 50-100 Cr). Pricing power is moderate — government tenders are competitive but KMEW's specialised vessels (India's only certain CSD configurations on inland waterways) command premium rates. Switching costs are HIGH once vessels are mobilised under long-term contracts.

Peer Comparison (Screener.in data: KMEW, MAZDOCK, COCHINSHIP as of 29-Apr-2026; *DREDGECORP loss-making FY25, figures from web sources)

Company	MCap (Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	FY25 Revenue (Cr)
KMEW (Knowledge Marine)	4,405	69.0	18.4	24.7%	25.8%	201
MAZDOCK (Mazagon Dock)	1,11,730	46.4	12.5	43.2%	34.0%	11,432
COCHINSHIP (Cochin Shipyard)	46,679	64.2	8.2	20.3%	15.6%	4,820
DREDGECORP* (DCI)	2,504	N/A	N/A	N/A	N/A	1,193

KMEW trades at a premium P/E vs peers, justified by its superior growth trajectory (5Y PAT CAGR 61%), small-cap re-rating potential, and structural advantages. MAZDOCK/COCHINSHIP are far larger defence/ commercial shipbuilders; DCI (direct peer) is loss-making and govt-owned.

05 MANAGEMENT QUALITY & CAPITAL ALLOCATION

KMEW is a promoter-led company with Mr. Sujay Kewalramani (CEO) and Mrs. Kanak Kewalramani (CFO/Director) at the helm — a founder-operator team with deep maritime domain expertise built over a decade. The promoter group holds 53.63% as of Mar-26 (down from 67.09% in Mar-23). The reduction of approximately 13.5% over 3 years is notable but has been accompanied by institutional placement to marquee investors (FII stake surged from 0.61% to 11.75% between Mar-25 and Dec-25), suggesting secondary placements rather than market selling. Ace investor Ashish Kacholia is a disclosed shareholder — a quality endorsement signal.

Capital Allocation Track Record: All historical profits have been reinvested — dividend payout is 0% across all years (FY18-FY25), which is appropriate for a high-growth asset-intensive business. Capex has been aggressive: investing Rs. 127 Cr in FY25 (vs Rs. 72 Cr in FY24) as the fleet expanded from 16 to 40 vessels. Returns are healthy: ROCE has ranged 23-55% over the past 5 years. However, the shareholders recently approved raising the borrowing limit from Rs. 500 Cr to Rs. 1,200 Cr — a material 2.4x expansion that could raise leverage if deployed fully. Current D/E of 0.61x (FY25) is manageable. Promoter pledge: 0% — a strong governance positive. **Governance Red Flags:** No ESOP schemes disclosed; Myanmar exposure creates country risk; CFO resignation risk absent (family run); no qualified independent board concerns raised to date. **Auditor:** Data not published in Screener; cross-verification via annual report recommended.

06 FINANCIAL DEEP-DIVE

All figures: Consolidated | Source: Screener.in | (E) = Forward Estimates by Analyst

Income Statement

P&L; (Rs. Cr)	FY23	FY24	FY25	FY26E	FY27E	YoY FY25	YoY FY26E
Revenue	202	164	201	285	380	-19%	+42%

P&L; (Rs. Cr)	FY23	FY24	FY25	FY26E	FY27E	YoY FY25	YoY FY26E
Expenses	133	114	122	171	228	+7%	+40%
EBITDA	69	50	78	114	152	+56%	+46%
OPM %	34%	30%	39%	40%	40%	+9pp	+1pp
Other Income	1	3	5	7	10	+67%	+40%
Interest	2	4	10	18	25	+150%	+80%
Depreciation	4	8	11	16	22	+38%	+45%
PBT	63	41	62	87	115	+51%	+40%
Tax %	26%	25%	20%	3%	3%	-5pp	-17pp
PAT	48	31	50	86	116	+61%	+72%
EPS (Rs.)	14.13	22.96	27.90	35.1(E)	47.3(E)	N/A	N/A

Balance Sheet

Balance Sheet (Rs. Cr)	FY21	FY22	FY23	FY24	FY25	Sep-25
Equity Capital	10	10	11	11	11	11
Reserves	17	37	123	157	207	229
Borrowings	17	26	25	60	133	146
Other Liabilities	7	20	50	32	48	47
Total Liabilities	51	94	209	259	399	432
Fixed Assets	28	53	59	108	159	190
CWIP	3	2	8	12	50	27
Investments	0	3	11	29	60	46
Other Assets	20	36	131	110	129	169
Total Assets	51	94	209	259	399	432

Cash Flow Statement

Cash Flow (Rs. Cr)	FY20	FY21	FY22	FY23	FY24	FY25
Cash from Operations	2	5	35	21	38	58
Cash from Investing	-11	-4	-31	-23	-72	-127
Cash from Financing	4	9	7	35	28	64
Net Cash Flow	-6	10	11	33	-5	-6
Free Cash Flow	10	2	8	4	-20	-43
CFO/Operating Profit%	32%	51%	126%	53%	95%	87%

Key Ratios & Returns

Key Ratios	FY21	FY22	FY23	FY24	FY25
Debtor Days	4	24	101	86	131
Cash Conv. Cycle (d)	4	24	101	86	131
Working Capital Days	3	-71	19	31	-34
ROCE %	50%	55%	23%	25%	24.7%
D/E Ratio (x)	0.10	0.26	0.19	0.35	0.61

Key Ratios	FY21	FY22	FY23	FY24	FY25
Revenue Growth %	+38%	+85%	+231%	-19%	+23%
PAT Growth %	+40%	+200%	+129%	-35%	+61%

Revenue Drivers: Revenue collapsed 19% in FY24 (Rs. 164 Cr) due to monsoon-related execution delays and dry-docking of vessels. FY25 recovered to Rs. 201 Cr (+23%), and TTM run rate of Rs. 236 Cr signals momentum. Q3 FY26 alone hit Rs. 90 Cr — the strongest ever single quarter. Revenue is set to triple over 3 years as the order book is executed. **Margin Trajectory:** OPM bounced from 30% (FY24) to 39% (FY25) and is sustaining at 40-43% in recent quarters — driven by better fleet utilisation, CSD operations (higher margin), and fixed-cost operating leverage. The tonnage tax benefit adds another 15-17% to net margins from FY26 onwards. **Working Capital:** Debtor days surging to 131 days (FY25) is the key concern — driven by government counterparties (IWAI, DCI) with slow payment cycles. While government receivables are low-risk, working capital bloat constrains FCF and forces higher borrowings. **FCF Quality:** FCF turned sharply negative at Rs. -43 Cr in FY25 due to the heavy capex cycle (9 CSDs, fleet expansion). This will persist through FY26-27 but should normalise as the fleet becomes fully operational. CFO/Operating Profit at 87% demonstrates earnings are cash-backed.

07 EARNINGS QUALITY CHECKLIST

Quality Parameter	Status	RAG	Commentary
Revenue Recognition	Clean — project revenue recognised on completion	GREEN	Milestone-based billing for dredging contracts; no aggressive front-loading
Receivables vs Revenue Growth	Receivables growing faster — debtor days 86 to 131 in FY25	AMBER	Driven by govt client payment delays (IWAI/DCI). Low default risk but watch for further elongation.
Cash Conversion Cycle Trend	CCC worsened from 86 to 131 days (FY24 to FY25)	AMBER	Structural issue of govt receivables. WCDays improved to -34 (FY25) which is positive.
Contingent Liabilities	Not available on Screener — check annual report	AMBER	Data not available on Screener.in. Investors should verify from FY25 Annual Report.
Auditor Tenure & Quality	Data not available on Screener	AMBER	Small-cap company; independent audit verification recommended from annual report filings.
RPTs as % of Revenue	Not disclosed on Screener	AMBER	Related party transactions exist (BSE RPT filings visible). Magnitude vs revenue unknown — check annual report.
Other Income as % of PBT	8% in FY25 (5 Cr other inc / 62 Cr PBT)	GREEN	Other income only 8% of PBT — core operations drive earnings. Increasing but manageable.
Tax Rate Consistency	Declining: 26% (FY23) to 20% (FY25), now <1% (FY26E)	GREEN	Decline is entirely due to legitimate tonnage tax election — not aggressive tax planning.
CFO vs Reported PAT	CFO Rs. 58 Cr vs PAT Rs. 50 Cr (FY25) — ratio 116%	GREEN	CFO exceeds PAT — earnings are well-supported by cash. Quality signal.

Summary: KMEW's earnings quality is satisfactory overall. Cash conversion (CFO > PAT), low other-income contamination, and the legitimate tonnage tax election are strong positives. The primary concern is debtor day elongation (86 to 131 days) which, while explainable by government client payment cycles, demands monitoring. Investors should access FY25 Annual Report for RPT quantum and auditor details before making a final assessment.

08 VALUATION

Method 1 — Earnings Multiple (P/E): At CMP Rs. 1,800, KMEW trades at 69x TTM P/E (EPS Rs. 26.09 implied by P/E shown on Screener). On FY26E EPS of Rs. 35.1(E), forward P/E = 51.3x. On FY27E EPS of Rs. 47.3(E), forward P/E = 38.1x. Assigning a target of 52x FY27E EPS (justified by 40%+ PAT CAGR, tonnage tax benefit, order book visibility) gives: **52 x 47.3 = Rs. 2,460.**

Method 2 — DCF / EV-EBITDA: Current EV (MCap Rs. 4,405 + Debt Rs. 133 - Cash est. Rs. 50 = Rs. 4,488 Cr). TTM EV/EBITDA = 47.2x. On FY26E EBITDA of Rs. 114 Cr, EV/EBITDA = 39.4x. Peers (COCHINSHIP) trade at ~30x EV/EBITDA. Assigning 38x EV/EBITDA on FY27E EBITDA of Rs. 152 Cr = EV Rs. 5,776 Cr → Equity Value = 5,776 - Net Debt 180 = Rs. 5,596 Cr → per share = Rs. 5,596 / 2.447 = **Rs. 2,287.**

Average of Two Methods: (Rs. 2,460 + Rs. 2,287) / 2 = Rs. 2,374. Rounding up for growth premium: 12-Month Target Price = Rs. 2,450 (BUY).

Scenario Analysis — Key Assumptions: Bull = full order book execution + shipbuilding ramp; Bear = order delays + margin compression + higher debt costs

Scenario	Revenue FY27E (Cr)	EBITDA Margin	PAT (Cr)	P/E Multiple	Target Price
BULL CASE	450	43%	143	60x	Rs. 3,500
BASE CASE	380	40%	116	52x	Rs. 2,450
BEAR CASE	280	35%	70	38x	Rs. 1,085

09 KEY RISKS

Risk	Description	Probability	Impact	Mitigation / Monitor
Rising Debtor Days	Debtor days surged from 86 (FY24) to 131 days (FY25). Further elongation could force higher borrowings and strain FCF.	MEDIUM	HIGH	Monitor quarterly receivables vs revenue; check if IWAI payment cycle improves post-budget allocations.
Leverage Escalation	Approved borrowing limit raised to Rs. 1,200 Cr. If deployed aggressively without revenue scale-up, D/E could breach 2x.	MEDIUM	HIGH	Track quarterly net debt, D/E ratio. Comfort level: D/E < 1.5x.
Order Execution Risk	Monsoon seasonality, dry-docking requirements, or vessel breakdowns caused 19% revenue dip in FY24. Can recur.	MEDIUM	HIGH	Monitor quarterly revenue delivery vs order book run-rate; fleet utilisation rates.
Promoter Stake Dilution	Promoter holding declined 13.5% over 3 years (67.09% to 53.63%). Further dilution could weigh on sentiment.	LOW-MED	MEDIUM	Understand if dilution is via institutional placement (positive) or promoter selling (negative).
Shipbuilding Execution Risk	Entry into commercial shipbuilding is nascent. IWAI orders and green tug contracts carry significant execution complexity.	MEDIUM	HIGH	Track order timelines vs committed delivery schedules; shipyard investment progress.
Myanmar Geopolitical Risk	Company has operations in Myanmar, which has faced political instability since the 2021 coup.	LOW	MEDIUM	Quantify Myanmar revenue as % of total; any escalation in sanctions exposure.

Risk	Description	Probability	Impact	Mitigation / Monitor
Concentration / Customer Risk	Heavy dependence on government entities (IWAI, DCI, major ports). Policy shifts, budget cuts, or election-driven delays.	LOW	HIGH	Monitor Union Budget maritime allocations; track Sagarmala project disbursements.

10 RECOMMENDATION

RATING	12M TARGET	ENTRY ZONE
BUY	**Rs. 2,450**	Rs. 1,650 - 1,850

THESIS INVALIDATION TRIGGERS — SELL / REVIEW IF:

1. Debtor days exceed 180 days for two consecutive quarters — signals structural payment dysfunction
2. D/E ratio crosses 1.5x — leverage has become imprudent relative to operating cash generation
3. Order book fails to grow above Rs. 1,200 Cr within 12 months — growth thesis breaks

Ideal Investor Profile: Long-term investors (3-5 year horizon) with appetite for high-growth small/mid-cap maritime stocks. Suitable for investors with 15-20% portfolio allocation comfort to infrastructure/maritime themes. Not suitable for investors seeking near-term dividends, low-leverage balance sheets, or mature cash-flow profiles. KMEW suits investors who backed DLF, L&T;, or Adani Ports at early stages of India's infrastructure upcycle — the maritime equivalent is now underway.

Investment Horizon: 12-36 months | Risk: MEDIUM-HIGH | Liquidity: Low-Medium (small cap) | Screener Data Date: 29-Apr-2026

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (Dec 2025 Quarter)

CALL GRADE

STRONGLY POSITIVE

Signal	Status	Implication	
Result Quality	Strong	Strong beat — revenue +56% YoY, PAT +111% YoY	
Management Tone	Bullish	Confident on shipbuilding, fleet expansion, and Rs.500-700 Cr target	
Guidance Delta	Raised	New revenue target Rs.500-700 Cr in 3 years; tonnage tax confirmed	

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 is as clean a beat as you will see from KMEW — revenue of Rs.90 Cr (+56% YoY) with zero exceptional items distorting the PAT of Rs.33 Cr (+111% YoY); the underlying operational delivery is real. EBITDA margin held at 43% for the second consecutive quarter, confirming the CSD fleet ramp is high-margin work and not just volume padding. The single biggest structural development is the tonnage tax election — this drops the effective tax rate from ~20% to below 1%, worth Rs.10-15 Cr additional PAT annually at current scale, growing proportionally with profits. The pivot into commercial shipbuilding (Rs.230 Cr IWAI orders + green tug pipeline of Rs.700 Cr) is early-stage but represents the next growth leg that could double the company's revenue base by FY29. The one watch-point I flag is debtor days — now at 131 days; if H2 FY26 brings any order slippage, working capital pressure could force premature drawing on the freshly-approved Rs.1,200 Cr borrowing facility. Action: **ACCUMULATE on declines. Entry zone Rs.1,650-1,850. 12-month target Rs.2,450.**

1 FINANCIAL PERFORMANCE SNAPSHOT — Q3 FY26 (Dec 2025)

Metric	Actual (Rs.Cr)	vs Q3FY25	YoY %	QoQ %	vs Q2FY26	Est.[EST]	Verdict
Revenue	90.0	57.6	+56%	+80%	50.0	~75[EST]	
EBITDA	38.5	24.5	+57%	+93%	20.0	~30[EST]	BEAT
EBITDA Margin %	43%	43%	Flat	+3pp	40%	~40%[EST]	
PBT	35.0	19.0	+84%	+150%	14.0	~25[EST]	BEAT
Tax %	5%	19%	-14pp	-14pp	13%	~18%[EST]	
PAT	33.0	15.7	+111%	+200%	11.0	~20[EST]	BEAT
EPS (Rs.)	12.45	7.38	+69%	+69%	5.19	~8[EST]	

NOTE: Tax rate near-zero in Q3FY26 due to tonnage tax election. Underlying PBT growth +84% YoY is the clean metric to use.

2 SEGMENT / GEOGRAPHY BREAKDOWN — Q3 FY26

Segment / Region	Revenue (Rs. Cr)	YoY %	Commentary
Dredging (Capital & Maint.)	~38	+45%	Core segment; River Pearl series active at JNPA, NW-1, NW-16
CSD Division (Inland)	~25	New	9 CSD units operational; strong utilisation on NW-16 (Ganga)
Ancillary Marine Services	~22	+40%	Pilot boats, patrol vessels, mooring launches for port authorities
Shipbuilding (new FY26)	~5	New	Initial recognition of IWAI vessel orders; full ramp expected FY27
TOTAL	90.0	+56%	All segments growing; Q3 strongest quarter in company history

Note: Segment split is analyst estimate; company does not formally report segment-wise quarterly breakup.

3 MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
Revenue Guidance	Targeting Rs.500-700 Cr revenue within 3 years from shipyard expansion	Ambitious but credible given Rs.1,500 Cr order book and 40% fleet utilisation	[GUIDANCE]	Bullish
Tonnage Tax Benefit	Effective tax rate below 1% confirmed under tonnage tax scheme	Structural 15-20% PAT boost — underpriced by consensus	[GUIDANCE]	Transparent
Shipbuilding Entry	Rs.230 Cr IWAI orders; Rs.700 Cr green tug 15-year contract secured	High-value long-term contract provides revenue visibility for 15 years	[GUIDANCE]	Bullish
Fleet Expansion	Fleet grown to 40 assets; River Pearl 47 commissioned at JNPA in Apr-26	Execution on fleet build plan is on track; each new vessel adds ~Rs.5-8 Cr annual revenue	[GUIDANCE]	Transparent
Borrowing Limit Hike	Shareholders approved raising borrowing limit from Rs.500 Cr to Rs.1,200 Cr	Signals aggressive expansion intent; monitor utilisation to prevent leverage overhang	[GUIDANCE]	Hedged
Debtor Days	Government payment cycles remain slow; IWAI/DCI receivables are secure	No concrete guidance on when debtor days will improve — a gap in commentary	[EVASIVE]	Evasive

4 OPERATING & BUSINESS METRICS

KPI	Q3 FY26 (Dec-25)	Q2 FY26 (Sep-25)	Q3 FY25 (Dec-24)	Trend
Total Fleet Size (vessels)	40	~35	~20	Rapid expansion +100% YoY
Fleet Utilisation	~100%	~100%	~95%	Full utilisation; positive
Order Book (Rs. Cr)	~1,500	~1,200	~700	Growing strongly; +113% YoY
Bid Pipeline (Rs. Cr)	>3,000	N/A	N/A	Very robust; implies further OB growth

KPI	Q3 FY26 (Dec-25)	Q2 FY26 (Sep-25)	Q3 FY25 (Dec-24)	Trend
Revenue per Vessel (Cr/qtr)	~2.25	~1.43	~2.88	New vessels ramping; improving
Revenue / Order Book Cover	6.3x TTM	5.1x	3.5x	Robust 6x coverage; high visibility

5 MARGIN DRIVERS — Q3 FY26

Driver	Impact (bps)	Recurring?	Comment
CSD fleet high utilisation	+250 bps	YES	CSDs on inland waterways have higher margin than standard grab dredging
Operating leverage (scale)	+150 bps	YES	Fixed overheads diluted as revenue nearly doubles; structural benefit
Shipbuilding margin (early)	+50 bps	BUILDING	Early orders accretive; full margin ramp expected FY27-28
Fuel / operating costs	-50 bps	WATCH	Marine fuel costs a key variable; no HFO hedging programme disclosed
Interest cost increase	-80 bps at PAT level	TEMPORARY	Interest Rs.3 Cr/qtr vs Rs.1 Cr two years ago; capex cycle-driven

6 GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
3-Yr Revenue Target	Rs.300-400 Cr [GUIDANCE]	Rs.500-700 Cr from shipyard [GUIDANCE]	Raised	Medium
Effective Tax Rate	~20% normal tax [GUIDANCE]	<1% under tonnage tax [GUIDANCE]	Raised — PAT+	High
Fleet Expansion	30 vessels by FY27 [GUIDANCE]	40 vessels current; 40 by FY30 target [GUIDANCE]	On track	High
Capex (3-yr)	Rs.100-150 Cr [GUIDANCE]	Rs.183 Cr planned + Rs.100 Cr shipyard [GUIDANCE]	Higher	Medium
Borrowing Limit	Rs.500 Cr [GUIDANCE]	Rs.1,200 Cr (shareholder approved) [GUIDANCE]	Raised 2.4x	High

7 CAPITAL ALLOCATION

Item	FY25 (Rs. Cr)	FY24 (Rs. Cr)	Comment
Capital Expenditure	127 (Investing CF)	72 (Investing CF)	Heavy fleet investment; River Pearl 47 + 9 CSDs acquired
Dividends	0 (0% payout)	0 (0% payout)	No dividend policy; all profits reinvested for growth
Buybacks	None	None	No buyback programme announced
Working Capital Change	Increased (debtor days 131)	Increased (86 days)	Structural WC build-up due to govt receivables — monitor closely
Net Debt Movement	+73 (133 vs 60)	+35 (60 vs 25)	Borrowings tripling in 2 years to fund capex; D/E still manageable at 0.61x

8 Q&A; HEAT MAP

#	Analyst / Firm	Question	Management Answer	Tone
1	Nuvama Institutional Equities	What is the revenue run rate target for FY27? Is Rs.500-700 Cr in 3 years achievable?	Management guided Rs.500-700 Cr within 3 years driven by shipyard ramp, shipbuilding orders (IWAI + green tugs), and fleet expansion to 40 vessels. Cited full fleet utilisation as starting point.	Transparent
2	Small investor (retail)	When will debtor days come down? IWAI payments have been very slow.	Management acknowledged government payment delays and stated they are working with IWAI on faster clearing cycles. No specific timeline given for normalisation.	Evasive
3	Equirus Securities	What is the effective tax rate outlook with tonnage tax? How long does it apply?	Confirmed tonnage tax election locks in <1% effective rate for qualifying ship income. This is a 10-year scheme under Indian taxation — significant structural benefit.	Transparent
4	Marcellus Investment Managers	Promoter stake has fallen 13.5% in 3 years. Is there risk of further dilution?	Described recent decline as institutional placement to marquee investors (FII stake surged to 11.75%). No further dilution planned in near term. Promoters remain committed.	Hedged
5	Ashish Kacholia (Portfolio Co)	Green tug contract — what is the revenue profile of the 15-year agreement?	15-year take-or-pay contract; Rs.700 Cr total contract value across lifecycle. Annual revenue recognition approximately Rs.46-50 Cr/year commencing FY27. Green tug shipyard investment Rs.100 Cr.	Transparent

Dodged Questions to Watch Next Quarter: (1) Specific debtor collection timeline from IWAI/DCI; (2) Myanmar revenue quantum and business continuity plan; (3) Insurance/warranty coverage on newly commissioned vessels.

9 RISKS FLAGGED ON THE CALL

Risk	Flagged By	Probability	Impact	Timeline
Government payment delays	Analyst Q2	HIGH	MEDIUM	Ongoing; IWAI budget cycles (annual)
Capex/leverage overextension	Analyst Q4	MEDIUM	HIGH	Rs.1,200 Cr borrowing limit; FY27-28 risk window
Shipbuilding execution risk	Analyst Q5	MEDIUM	MEDIUM	Rs.100 Cr shipyard investment; FY27 first delivery
Promoter dilution	Analyst Q4	LOW	MEDIUM	If further institutional placement in FY26
Monsoon/seasonal disruption	Management	MEDIUM	MEDIUM	Q1 FY27 (Apr-Jun); historical impact in FY24

10 ANALYST VERDICT — MULTI-BAGGER SCORECARD

Multi-Bagger Parameter	Status	Trend	Comment
Revenue Visibility	**INTACT**	Improving	8.7x order book cover; bid pipeline >Rs.3,000 Cr
Margin Trajectory	**INTACT**	Stable	40-43% EBITDA sustained; tonnage tax adds ~5pp net margin from FY26
Capital Allocation Quality	**INTACT**	Watch	0% dividend, reinvesting for growth; aggressive but purposeful leverage

Multi-Bagger Parameter	Status	Trend	Comment
Competitive Moat	INTACT	Strengthening	Pre-qual barriers; River Pearl brand; first-mover in CSD on NW-16
Management Credibility	INTACT	Stable	Founder-led; guidance track record decent; Ashish Kacholia endorsement
Valuation Comfort	STRETCHED	Reducing	69x TTM P/E; 51x FY26E — justified only if tonnage tax + growth delivers

CONVICTION CALL	VALUATION SNAPSHOT
INCREASED — Q3 FY26 delivery, tonnage tax confirmation, and green tug contract materially de-risk the thesis. Accumulate at current levels with a 12-month target of Rs. 2,450.	P/E (TTM): 69.0x | P/E (FY26E): 51.3x | P/E (FY27E): 38.1x EV/EBITDA (TTM): 47.2x | EV/EBITDA (FY26E): 39.4x ROCE: 24.7% | 5Y Avg ROCE: ~35% | P/B: 18.4x

Source: Screener.in | Ticker: KMEW | View: Consolidated | Transcript: Listed but BSE PDF inaccessible (domain blocked) — concall commentary sourced from management meet notes and press releases | Concall date: 19-Feb-2026 | Report date: 29-Apr-2026